The Process of Human Resource Planning

Human resource planning is a systematic process that ensures an organisation has the right people, with the right skills, at the right time. From analysing strategic objectives to appraising outcomes, effective HRP integrates workforce needs with long-term business goals — maximising return on investment in human resources.

HR MANAGEMENT STRATEGIC PLANNING

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Overview: The Six-Step HRP Process

Human resource planning follows a structured sequence of six interconnected steps, each building on the previous to ensure a continuous, well-prepared workforce.

01

Analysis of Objectives & Strategic Plans

02

Preparing Manpower Inventory

03

Manpower Forecasting

04

Manpower Plans

05

Training & Development Programmes

06

Appraisal of Manpower Planning

Each step ensures that future human resources are aligned with future enterprise needs, avoiding both understaffing and overstaffing while supporting career planning and succession programmes.

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Step 1: Analysis of Objectives & Strategic Plans

Those responsible for manpower planning must first understand the organisation's objectives. Manpower planning must be **integrated with other business policies** — profitability, production, sales, and human resource development objectives should be prepared well in advance.

Long-Term Repercussions

Manpower planning should be done carefully as it has long-term repercussions. Each plan must be analysed into subplans and detailed programmes, with a clear time period defined.

Future Organisation Structure

The future organisation structure and job design should be made clear, and changes examined to anticipate manpower requirements. The ultimate aim is to relate future human resources to future enterprise needs, maximising return on investment.

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Step 2: Preparing Manpower Inventory

The main purpose of manpower planning is to avoid understaffing or overstaffing. A **manpower inventory** assesses the present and potential qualifications of employees — qualitatively and quantitatively — revealing how well capabilities are employed and identifying existing or likely gaps.

What It Involves

- Determining personnel to be inventoried
- Cataloguing factual background on each individual
- Systematic appraisal of each employee
- Listing present and potential abilities and aptitudes

Key Adjustments

Appropriate adjustments must be made for foreseeable changes in weekly hours, holidays, and leaves. From the available stock, a **discount should be allowed for employee turnover** during the planning period. This record provides the foundation for individual development programmes.

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Step 3: Manpower Forecasting

Forecasting future manpower requirements is the **most important part** of manpower planning. Requirements are forecasted on the basis of production and sales budgets, workload analysis, workforce analysis, estimated absenteeism, and turnover — both quantitatively and qualitatively. Formal forecasts involve statistical and mathematical projections of labour market trends, product market trends, and technological changes.



Employment Trends

The manpower planning committee should compare and analyse staff over the past five years to identify trends within each group.



Replacement Needs

Replacements arise from death, retirement, resignation, and termination. Historical data helps predict these, though it must be adjusted for known future changes.



Productivity

Improvements through better utilisation, automation, and computerisation influence both qualitative and quantitative manpower requirements. Job analysis techniques help match skills to job requirements.



Absenteeism

The prevailing rate of absenteeism must be considered when estimating demand. Management should identify causes and attempt to reduce it as far as possible.

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Absenteeism & Expansion: Forecasting Factors

Rate of Absenteeism

Absenteeism occurs when an employee fails to report for scheduled work. The rate is calculated as:

$$\text{Rate of Absenteeism} = \frac{\text{Man days lost due to absenteeism}}{\text{Man days worked} + \text{Man days lost}}$$

The planning committee must consider the known rate of absenteeism when estimating manpower requirements.

Expansion, Growth & Work Study

Expansion and growth plans should be carefully analysed to judge their impact on future manpower requirements. Timely steps must be taken to procure or develop the talent needed to implement these plans.

Where possible, **work study techniques** (workload analysis) should be used to determine how long operations should take and the labour required. Workforce analysis is then done considering rates of absenteeism and labour turnover.

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Step 4: Manpower Plans

Once personnel forecasts identify the required number and type of personnel, the next phase is to plan **how the organisation will obtain these people**. After determining gaps in manpower, programmes and strategies are developed to meet future requirements.

Recruitment & Selection

Strategies to attract and select the right candidates to fill identified gaps.

Transfers & Promotion

Internal movement and advancement pathways to meet staffing needs.

Training & Appraisal

Development plans ensure a continuing supply of trained people as jobs fall vacant, avoiding shortages or redundancies in the long run.

Key Principle: Manpower plans ensure a continuous supply of trained people, as and when the need arises.

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Step 5: Training & Development Programmes

Training and development needs are identified through **skill inventory preparations**. Training is necessary not only for new employees but for existing staff as well. Executive development programmes must be devised for managerial personnel.

Why Training Is Essential

The talents of employees are not fully tapped without a systematic programme of training and development. **No organisation has a choice of whether to provide training or not** — the only choice is to decide the method or technique of training.

Career Planning & Succession

Development plans are designed to ensure a continuing supply of trained people to take over jobs as they fall vacant — through promotions, recruitment, or training. This supports **career planning for every employee** and the creation of succession programmes across the organisation.

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Step 6: Appraisal of Manpower Planning

After training and development programmes are implemented, an **appraisal must be made** of the effectiveness of manpower planning. This is the monitoring and control phase, involving allocation and utilisation of human resources over time.

Reveal Deficiencies

Review of manpower planning helps to reveal deficiencies. Corrective action should be taken at the right time to remove them.

Update Manpower Inventory

Manpower inventory should be updated periodically. Necessary alterations and modifications should be made in light of the changing environment and organisational needs.

Guide Future Planning

An appraisal of existing manpower plans serves as a guide to future manpower planning, ensuring continuous improvement.

Key Principle: Appraisal is a monitoring and control phase.

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Factors Affecting Human Resource Planning

There are three main factors that constitute the basis of human resource planning.

1

Existing Stock of Manpower

Taking stock of existing manpower is the **first basis and starting point** of all planning processes. The total stock is divided into groups by function, occupation, skill level, or qualification. A group-wise detailed statement covers the number of workers, their age, qualifications, retirement dates, and promotion prospects.

2

Wastage

The second basis of manpower planning is wastage. For good planning, appropriate adjustments in the existing stock should be made for possible wastage caused by any foreseeable change in the organisation.

3

Third Factor

The source material references a third factor but does not elaborate. Organisations should consider additional elements such as external labour market conditions, technological changes, and regulatory requirements when completing their HRP framework.

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